

MALTA 2016

Table of Contents

1. Overview of the tax-benefit system	1
2. Unemployment insurance	3
3. Unemployment assistance	7
4. Social assistance	11
5. Housing benefits	16
6. Family benefits	20
7. Childcare for pre-school children	23
8. Employment-conditional benefits	25
9. Lone-parent benefits	27
10. Tax system	29
11. Part-time work	37
12. Policy developments	38
Social security contributions to general government	40
Social security contributions paid to institutions outside general government	40
Payroll taxes	40

Introduction

The “Country Chapters” are made available as part of the OECD’s *Benefits and Wages* publication series. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summaries of policy changes and trends.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The national social security system is divided into two categories – the contributory and the non-contributory. The former is made up of a number of benefits which are given to individuals who pay social security contributions whereas the latter is based on a means test basis. When a person becomes unemployed and starts to register for work with the national employment agency (Jobsplus), the first matter which is checked is to what extent is this person eligible to a contributory or a non-contributory benefit.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1.1. *Average Worker wage (AW)*

The 2016 AW is 21848 Euros. This includes the Government Statutory Bonus and Income Supplement:

Government Statutory Bonus

This bonus is payable in two equal instalments (one in June and one in December). Periods of no pay will be reflected proportionately in the payment of this bonus. The amount paid every six months is of 135.10 Euros, hence the monthly contribution is 22.52 Euros.

Income Supplement

This bonus is calculated as a weekly allowance at a rate of 4.66 Euros for every week or proportionately for any part of a week during which an employee is in employment. Payment is effected in March and September. The monthly payment amounts to 20.04 Euros.

2. Unemployment insurance

Program name in local language		Unemployment insurance (UB, contributory system) and special unemployment benefit (SUB, means-tested)
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 50 weeks of which 20 in the last two years
Waiting period (days)		0
Maximum duration (months)		6 (156 days)
Uprating mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	Flat rate, higher for special unemployment benefit (incl. lump-sum bonus)
	benefit at the end of legal entitlement period in % of calculation base	Flat rate, higher for special unemployment benefit (incl. lump-sum bonus)
	Calculation base(2)	n.a.
	Permitted employment and disregards when receiving unemployment insurance benefit	UB: none and fully withdrawn if working; SUB: No, completely withdrawn if earnings above income threshold of EUR 356.94 per month, 100% withdrawal rate if earnings below threshold
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + higher flat rate for household or two or more
	contract type	0
	other	G: + lump-sum bonus for (S)UP recipients of EUR 13.42 plus EUR 22.52 per month;+ additional benefit through supplementary allowance if income less social security contributions below EUR 8800

2.1 Conditions for receipt

A number of criteria must be fulfilled in order for a person to be able to receive the unemployment benefit (a contributory short-term benefit). These criteria are outlined below:

- a) the person must be registering for work with the ETC – this implies regular registration at the district office
- b) the person must be over 16 but under 61 years old.

If the criteria for social assistance are satisfied the Unemployment Benefit is increased and converted to, a Special Unemployment Benefit (SUB). Should the SUB not be sufficient for the unemployed person, this is complemented by additional social assistance. The criteria which are considered for eligibility to SUB are related to whether the beneficiary is the head of household and the access to capital:

In case of a single person capital is not to exceed 14,000.00 Euros per annum. In case of a household of two or more adult persons the capital must not exceed 23,300.00 Euros per annum.

The income should not exceed the lowest rate of assistance payable for Special Unemployment Benefit.

The request for Special Unemployment Benefit should be raised by the unemployed person at the district office and this application is then forwarded to the head office of the Social Security Department for subsequent assessment.

2.1.1 Employment conditions

Eligibility is based on the social security contributions made by the individual as 2.1.2 outlines. A person may be deprived of the Unemployment Benefit or the Special Unemployment Benefit, should s/he fail to:

- a) attend interviews for potential jobs indicated by ETC and/or decline any offer for employment
- b) attend any training which the ETC deems suitable for increasing the unemployed person chances of finding a job
- c) is found working whilst registering for work

Furthermore, unemployed persons under the age of 23 who are eligible to receive the Unemployment Benefit or the Special Unemployment Benefit are obliged to participate in the Youth Guarantee Scheme under the supervision of the Ministry of Education and Employment. This scheme provides vulnerable young persons with education, training and personal assistance, with the aim being to facilitate such people's transition from education to gainful employment, and consequently improving their quality of life and social integration.

2.1.2 Contribution conditions

In order to be eligible for the contributory Unemployment Benefit or the Special Unemployment Benefit, a person must have at least 50 weekly social security contributions of which 20 should have been contributed in the last two consecutive complete contribution years before the beginning of the benefit year. The UB or SUB is given for a maximum of 156 days to employees only and depends on the number of contributions made. Self-employed persons who become unemployed are not entitled to UB or SUB but may qualify for Unemployment Assistance if they satisfy the means test criteria.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Persons receiving Unemployment Benefit are paid 7.97 Euros per day (if single head of household¹) (max 215.19 Euros per month) and 12.18 Euros per day (if married head of household, maintaining a spouse who is not in full-time employment or a single parent) (max 328.86 Euros per month, calculated as for single rate). Persons receiving the Special Unemployment Benefit are paid 13.50 Euros per day (if single head of household) (max 364.50 Euros for 1 month) and 20.47 Euros per day (if married head of household, maintaining a spouse who is not in full-time employment or a single parent) (max 552.69 Euros for 1 month). Payment is based on each day of unemployment, excluding Sundays.

¹ A head of household is defined as a person who in the opinion of the Director of Social Security is the head of a household consisting of 2 or more persons. A household is defined as one or 2 or more persons who in the opinion of the Director of Social Security are living together as a family.

If the beneficiary's or his/ her family's gross income is above the maximum income which can be received from SUB, the benefit is not paid. Income calculations are based on the items identified in 2.2.2 below.

2.2.2 *Income and earnings disregards*

A person's private residence and garage, summer residence, personal car and jewellery are not considered to be part of the income calculations that are made for eligibility to SUB.

Access to the following assets is included in the calculations:

- a) money deposited in banks or lent to individuals
- b) half the money deposited in banks on children's name (children who are living in the household and not working)
- c) income from shares
- d) value of life insurance policy
- e) other vacant property owned by the individual
- f) land which can be developed
- g) additional cars owned by the individual

Access to the following income sources is included in the calculation:

- a) interests
- b) income from rented property
- c) income from the sale of property or other goods
- d) a ratio of 0.178 on any benefit or pension paid in respect of children who are inactive (usually this is a retirement pension or invalidity pension)
- e) interests from bank accounts on children residing in the household and below 16 years
- f) the alimony received by the head of household and 0.171 of the maintenance paid for children
- g) total income from wife's or partner's gainful occupation

Income disregards are outlined below:

- a) personal residence
- b) garage which is for personal use
- c) summer residence
- d) private car
- e) personal jewellery and belongings

2.3 *Tax treatment of benefit and interaction with other benefits*

Income from unemployment benefit should be declared for tax purposes. Tax rates are applied if the global income received during the reference year exceeds 9100.00 Euros (for single tax computation), 12700.00 Euros (for married tax computation) or 10500.00 Euros (for parent tax computation).

2.4 *Benefit duration*

The Unemployment Benefit or Special Unemployment Benefit is given for a maximum of 156 days to employees only and depends on the number of contributions made. On exhaustion of special unemployment benefit, a client becomes normally entitled to unemployment assistance on re-assessment.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

2.5.2 *Older workers*

2.5.3 *Others if applicable, including disabled*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

3. Unemployment assistance

Program name in local language		...
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		UI: claim exhausted or contribution record too short for UI
Waiting period (days)		0
Maximum duration (months)		No limit
Uprating mechanism of the benefit		No automatic adjustment
Calculation of unemployment assistance benefit:	initial benefit as % of calculation base	Flat rate
	benefit at the end of legal entitlement period in % of calculation base	Flat rate
	Calculation base(1)	n.a.
	Permitted employment and disregards when receiving unemployment assistance benefit	No, completely withdrawn if earnings above income threshold of EUR 349.38 per month, 100% withdrawal rate if earnings below threshold
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + below proportional for each dependent
	contract type	0
	other	G: + lump-sum bonus for (S)UP recipients of EUR 13.42 plus EUR 22.52 per month;+ additional benefit through supplementary allowance if income less social security contributions below EUR 8830.00

3.1 Conditions for receipt

Unemployment assistance is given to those persons who are unemployed and who have their application reassessed following 6 months from the receipt of Unemployment Benefit or Special Unemployment Benefit. In order to qualify for the receipt of such benefit, the applicant must satisfy a means test, are 23 years of age or over and be registering for employment under Part 1 of unemployment register (which is for people who were never employed or made redundant in their previous work place). Persons under 23 years of age who are neither gainfully occupied nor participating in study schemes may apply for Unemployment assistance, as long as they also apply for the Youth Guarantee Scheme organised by the Ministry of Education and Employment. Other eligible persons are applicants (employees) who have not enough social security contributions to qualify for UB or SUB as well self-employed persons who become unemployed.

In case of beneficiaries who are part of a family where one member is employed, UA is only given if the employed household member is engaged on a part time basis. In this regard, the employed person must provide the Social Security Department with a declaration from his/her employer whereby the type of employment contract is declared (i.e. whether working full time or part time).

In cases where a household member where the beneficiary lives works on a full time basis no Unemployment assistance is given. In cases where a household member in which a beneficiary lives works on a part time basis, UA is provided for one beneficiary only, since there are no dependants (this assumes a case of a couple where one spouse works and the other spouse is unemployed). In cases where there are dependents (ex couple with two children where a spouse is employed and another spouse is unemployed), UA is calculated on three persons (1 beneficiary and 2 dependents).

3.1.1 Employment conditions

Unemployment assistance is given to employees when the 156 days of unemployment benefit or special unemployment benefit have elapsed. Another way of getting unemployment assistance is when an employee who has become unemployed has not enough social security contributions to qualify for UB or SUB. Unemployment assistance can also be availed of by the self-employed.

3.1.2 Contribution conditions

In order to qualify for unemployment assistance, the beneficiary must be registering for employment with the public employment agency.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The calculation of unemployment assistance is based on the number of persons who are living in the household and who are directly dependant on the beneficiary:

1 person (i.e. beneficiary only) – 102.04 Euros per week / 442.22 Euros per month

2 persons (i.e. beneficiary and 1 dependant) – 110.19Euros per week / 477.54 Euros per month

3 persons (i.e. beneficiary and 2 dependants) – 118.34 Euros per week / 512.86 Euros per month

4 persons (i.e. beneficiary and 3 dependants) – 126.49 Euros per week / 548.18 Euros per month

5 persons (i.e. beneficiary and 4 dependants) – 134.64 Euros per week / 583.50 Euros per month

For each additional dependant – 8.15 Euros per week / 35.32 Euros per month

3.2.1.1 Irregular additional payments

Not applicable

3.2.1.2 Obligations of family members

Not applicable

3.2.2 Income and earnings disregards

The income and earnings disregards for unemployment assistance are identical to those of unemployment benefit (refer to paragraph 2.2.2 above).

The capital tests are as follows:

- a) in case of married person capital shall not exceed 23,300.00 Euro
- b) in case of single or separated person capital shall not exceed 14,000.00 Euro.

The income test is calculated on the income earned as well as on maintenance, interests and rents receivable. The income shall not exceed the Unemployment Assistance rate due to claimant and the income receivable shall be deducted from the rate due (eg. if a person receives 20Euro as rent from third party this amount is deducted from the rate due).

If one of the spouses is employed, the other spouse is registering for work under Part 1 and the income (as mentioned in income test) does not exceed the Unemployment Assistance rate due (rate is paid in accordance with the number of persons in household), the difference in Unemployment Assistance is paid.

However if the income exceeds the Unemployment Assistance due rate, no assistance is payable from the Department.

The maximum Unemployment Assistance in 2015 for a household consisting of 4 persons (Husband, Wife and two children who are not employed) was 126.49 Euro per week (548.18 Euros per month). Therefore for example if a spouse is registering for work under Part 1, the other spouse is working and the weekly income (income derived from employment, interests and rents receivable) is less than 126.49 Euro, the head of household is paid the difference from the income received to the rate due.

3.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment Assistance is non taxable.

3.4 *Benefit duration*

Unemployment Assistance is given for an indeterminate period or until the head of household stops registering for work with the public employment office or when capital and income means test is exceeded through changes in the family's financial situation.

3.5 *Treatment of particular groups*

Additional Bonus

This is a non-means tested benefit given to all persons receiving Unemployment Assistance. The amount is that of 3.12 Euros per week (13.42 Euros per month). This payment is constant irrespective of the number of dependants that may be living with the beneficiary.

Half yearly bonus

This is a non-means tested benefit given to all persons receiving Unemployment Assistance. The amount is that of 135.10 Euros two times a year (22.52 Euros per month). This payment is constant irrespective of the number of dependants that may be living with the beneficiary.

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable, including disabled*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Benefit: Subsidiary Unemployment Assistance

This benefit is paid to registered immigrants who enjoy Subsidiary Protection and who are unemployed. The rate varies according to the composition of the household and is means tested. A single person living on his own receives 102.04 Euros per week (442.22 Euros per month), with an additional 8.15 Euros paid for each additional person if living as a family. In households containing more than one eligible person, those who qualify will be entitled to 75% of the abovementioned amount (i.e. 76.53 Euros per week or 331.59 Euros per month).

Benefit: Unemployment Assistance Tapering

Unemployed persons who commence employment, and earn at least the national minimum wage, will continue to receive 65% of their unemployment benefits in the first year of employment. Such rate will be further reduced to 45% in the beneficiaries' second year of employment and then to 25% in the third year. After three years of employment, the assistance will stop being paid.

4. Social assistance

Entitlement to social assistance depends on whether the applicant satisfies a means test. No account is taken of social security contributions since this benefit is not considered to be a contributory benefit.

In case of beneficiaries who are part of a family where one member is employed, Social assistance is only given if the employed household member is engaged on a part time basis. In this regard, the employed person must provide the Social Security Department with a declaration from his/her employer whereby the type of employment contract is declared (ie whether working full time or part time).

In cases where a household member where the beneficiary lives works on a full time basis no Unemployment assistance is given. In cases where a household member in which a beneficiary lives works on a part time basis, SA is provided for one beneficiary only, since there are no dependants (this assumes a case of a couple where one spouse works and the other spouse is unemployed). In cases where there are dependents (ex couple with two children where a spouse is employed and another spouse is unemployed), SA is calculated on three persons (1 beneficiary and 2 dependents).

Program name in local language		Social assistance
Minimum age condition for social assistance receipt		18
Legal behavioural requirements	Registration as unemployed	Yes
	Participation in integration measures	No
	Active job search	Yes
	Work requirement	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	No
Determination of benefit levels		National
Uprating mechanism of the benefit		...
Other supplements to basic benefit (per family)		No

Means-test for social assistance	Earnings disregards	No, completely withdrawn if earnings above income threshold of EUR 349.38 per month, 100% withdrawal rate if earnings below threshold
	Benefit withdrawal rate with regard to earned income	100% withdrawal rate if earnings below threshold
	Assets included in means test?	Yes
	Other benefits included in the means test	Unemployment insurance and assistance benefit
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + below proportional for each dependent
	over time	0
	other	G: + lump-sum bonus for (S)UP recipients of EUR 13.42 plus EUR 22.52 per month;+ additional benefit through supplementary allowance if income less social security contributions below EUR 8830.00

4.1 Conditions for receipt

Social assistance is given to those persons who are eligible after a means test is carried out. In order to qualify for social assistance, a person must carry out a means test of capital and income means.

A person's income, property and privilege is taken into account for assessing eligibility to social assistance. In addition account is taken of any social assistance and/ or pension which the applicant or wife/ husband might be receiving at the time when such assistance is requested.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The calculation of Social Assistance is identical to that of Unemployment Assistance and is based on the number of persons who are living in the household and who are directly dependant on the beneficiary:

1 person (i.e. beneficiary only) – 102.04 Euros per week / 442.22 Euros per month

2 persons (i.e. beneficiary and 1 dependant) – 110.19 Euros per week / 477.54 Euros per month

3 persons (i.e. beneficiary and 2 dependants) – 118.34 Euros per week / 512.86 Euros per month

4 persons (i.e. beneficiary and 3 dependants) – 126.49 Euros per week / 548.18 Euros per month

5 persons (i.e. beneficiary and 4 dependants) – 134.64 Euros per week / 583.50 Euros per month

For each additional dependant – 8.15 Euros per week / 35.32 Euros per month

4.2.2 *Income and earnings disregards*

The income and earnings disregards for social assistance are identical to those of unemployment benefit (refer to paragraph 2.2.2 above).

The capital tests are as follows:

- a) in case of married person capital shall not exceed 23,300.00 Euro
- b) in case of single or separated person capital shall not exceed 14,000.00 Euro.

The income test is calculated on the income earned as well as on maintenance, interests and rents receivable. The income shall not exceed the Social Assistance rate due to claimant and the income receivable shall be deducted from the rate due (eg. if a person receives 20Euro as rent from third party this amount is deducted from the rate due).

If one of the spouses is employed, the other spouse is registering for work under Part 1 and the income (as mentioned in income test) does not exceed the Social Assistance rate due (rate is paid in accordance with the number of persons in household), the difference in Social Assistance is paid.

However if the income exceeds the Social Assistance due rate, no assistance is payable from the Department.

The maximum Social Assistance rate in 2016 for a household consisting of 4 persons (Husband, Wife and two children who are not employed) is 126.49Euro per week. Therefore for example if a spouse is inactive and the other spouse is working and the weekly income (income derived from employment, interests and rents receivable) is less than 126.49 Euro, the head of household is paid the difference from the income received to the rate due.

4.3 *Tax treatment of benefit and interaction with other benefits*

Tax rates are applied if the annual amount of Social Assistance exceeds 9,100.00 Euros (for single tax computation), 12,700.00 Euros (for married tax computation) or 10,500.00 Euros (for parent tax computation).

4.4 *Benefit duration*

Social Assistance is given for an indeterminate period or until the head of household stops registering for work with the public employment office or when capital/income means test is exceeded through changes in the family's financial situation.

4.5 *Treatment of particular group*

Additional Bonus

This is a non-means tested benefit given to all persons receiving Social Assistance. The amount is that of 3.12 Euros per week (13.42 Euros per month). This payment is constant irrespective of the number of dependants that may be living with the beneficiary.

Half yearly bonus

This is a non-means tested benefit given to all persons receiving Social Assistance. The amount is that of 135.10 Euros two times a year (22.52 Euros per month). . This payment is constant irrespective of the number of dependants that may be living with the beneficiary.

Supplementary allowance

This is an allowance for which the beneficiary has to apply once every year.

Supplementary allowance is given to single persons whose income does not exceed 8,921.00 Euros, excluding Social Security contributions paid. When the income is less than 6,410.00 Euros, the assessment is based on 4.57 Euros per week (19.82 Euros per month). When the income is higher than 6,410.00 Euros, the assessment is based on 1.7 % of the difference between 20,386.00 Euros and total income declared. The maximum supplementary allowance payment for the latter case is 237.61 Euros yearly.

Married persons whose income does not exceed 11,089.00 Euros, excluding Social Security contributions are also entitled to this allowance. When the income is less than 6,410.00 Euros, the assessment is based on 8.13 Euros per week (35.22 Euros per month). When the income is higher than 6,410.00 Euros, the assessment is based on 2.268% of the difference between 25,046.00 Euros and total income declared. The maximum supplementary allowance payment for the latter case is 422.69 Euros yearly.

As a general rule persons who receive children's allowance do not qualify for the supplementary allowance.

4.5.1 Young persons

4.5.2 Older workers

Supplementary allowance

Supplementary allowance is given to single persons who have reached the age of 65, are at risk of poverty and whose annual income does not exceed 8,921.00 Euros, excluding Social Security contributions paid. When the income is less than 6,410.00 Euros, the assessment is based on 6.49 Euros per week (28.13 Euros per month). When the income is higher than 6,410.00 Euros, the assessment is based on 1.7 % of the difference between 20,386 Euros and total income declared plus 100.00 Euros. The maximum supplementary allowance payment for the latter case is 337.61 Euros yearly.

Married persons who has reached the age of 65, are at risk of poverty and whose annual income does not exceed 11,089.00 Euros, excluding Social Security contributions are also entitled to this allowance. When the income is less than 6,410.00 Euros, the assessment is based on 10.05 Euros per week (43.56 Euros per month). When the income is higher than 6,410.00 Euros, the assessment is based on 2.268% of the difference between 25,046.00 Euros and total income declared plus 100.00 Euros. The maximum supplementary allowance payment for the latter case is 522.69 Euros yearly

4.5.3 Others if applicable, including disabled

Benefit: Social Assistance for Carers taking care of a sick or elderly relative

A single or widowed male/female, whether registered or not as an unemployed person, and who is taking care of a sick or elderly relative all by him/herself and on a fulltime basis, may become eligible to Social Assistance for Carers. A condition of eligibility to such benefit is based on the fact that there is no other

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

member in the household who is unemployed or if the second unemployed person is not medically fit to take care of the sick or elderly relative.

In order to qualify for the receipt of such benefit, the applicant must fill the relevant application and return it to the Social Security District Office. The sick or elderly relative who will be taken care of by the recipient is examined by a Medical Panel who provides feedback to the Director of Social Security on the genuity of the case. In order to qualify as a sick or elderly relative the person must be a parent, grandparent, brother/ sister, uncle/ aunt, brother/sister-in-law or father/mother-in-law of the applicant.

The weekly rate is of 76.53 Euros (331.59 Euros per month) plus an additional bonus of 3.12 Euros weekly (13.42 Euros per month) and a six monthly bonus of 135.10 Euros (22.52 Euros per month).

Benefit: Social Assistance for Drug Addicts

Such allowance may be given to any person following a drug or alcohol rehabilitation therapeutic programme. The only exception is when the applicant is sent to the therapeutic community as a result of a court sentence.

In order to qualify for the Social Assistance for Drug Addicts, the applicant must fill the relevant form and return it to the Social Security District Office. Documentary evidence showing that the claimant is following a therapeutic programme for substance abuse must be provided. All incoming claims are verified and income tests are carried out in order to establish whether the applicant is entitled to the benefit or not.

The receipt of the benefit is stopped whenever the person leaves the therapeutic programme before finishing the entire programme.

The rate is that of 30.00 Euros weekly (130.00 Euros per month). No bonuses are paid as part of this benefit.

5. Housing benefits

A number of schemes related to housing are available, however only the Rent Subsidy Scheme is paid regularly and in cash following the presentation of relevant documents. Other schemes related to repairs of property are not availed of on a regular basis by the same applicant since once a repair or maintenance is carried out no additional repairs are required. In this regard such schemes are being excluded.

Regular housing benefits	Program name in local language		Rent subsidy scheme
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	No
		Geographic location	No
		Actual rental cost	No
	Description of regular housing benefit		A number of schemes related to housing are available, but only the rent subsidy scheme is paid regularly. The benefit is based on the income level of the beneficiary and is paid to individuals living in rented properties provided by the private sector.
	Uprating mechanism of the benefit		...
Housing related support through other benefits			No

The Department of Social Security also provides assistance to persons who are in receipt of non contributory benefits. This assistance is known as Rent Element and the amount of such benefit is 1.16 Euro (Lm 0.50) per week.

5.1 Conditions for receipt

Rent Subsidy Scheme

Housing benefit is based on the income level of the beneficiary and is paid to individuals living in rented properties provided by the private sector that are being used as ordinary houses of residences by the applicant and his/her family.

In order to qualify for Housing Benefits, the applicant must satisfy the following criteria:

- Be a Maltese citizen or an EU citizen. In case of married couples, one member of the couple must be a Maltese or an EU citizen.
- Applicant and his wife/her husband have lived continually in Malta for at least 18 months preceding the date of application

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- Must be married, single, widow/er, separated or single parent or a single person between 18-21 years leaving institutional care
- The applicant must have entered into an agreement with the landlord
- The applicant must be the recognised tenant of the property
- Applicant's capital assets must not exceed 10,000 Euros (during the 12 months prior date of application) and the annual aggregate income does not exceed the maximum amounts in the tables below.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The Rent Subsidy Scheme is calculated as follows:

Table A – Maximum annual rent payable €197.58:-

SINGLE PERSON			MAXIMUM SUBSIDY	MINIMUM RENT TO BE PAID BY APPLICANT
	€ 0.00	-	€ 6,514.80	€ 80
2 ADULTS				
	€ 0.00	-	€8,014.80	€ 100
3 OR MORE PERSONS (FAMILY WITH CHILDREN)				
	€ 0.00	-	€ 9,514.80	€ 120

Table B –Annual rent payable exceeding €198:-

SINGLE PERSON			MAXIMUM SUBSIDY	MINIMUM RENT TO BE PAID BY APPLICANT
A	€ 0.00	-	€ 8,514.80	€ 800
B	€ 8,514.81	-	€ 9,514.80	€ 650
C	€9,514.81	-	€ 13,514.80	€ 550
2 ADULTS				
A	€ 0.00	-	€ 11,514.80	€ 950
B	€ 11,514.81	-	€ 15,514.80	€ 850
C	€ 15,514.81	-	€ 16,514.80	€ 750

3 OR MORE PERSONS (FAMILY WITH CHILDREN)					
A	€ 0.00	-	€ 14,514.80	€ 1,000	€ 198
B	€ 14,514.81	-	€ 15,514.80	€ 900	€ 250
C	€ 15,514.81	-	€ 16,514.80	€ 800	€ 300
D	€ 16,514.81	-	€ 17,514.80	€ 700	€ 350
E	€ 17,514.81	-	€ 18,514.80	€ 600	€ 400

Members of a family include the applicant and his/her spouse and his/her children living with the applicant, including fostered children, nephews/nieces, and stepchildren. Children must be under 18 years of age, dependent on the applicant, unmarried, and unemployed. Age is not taken into account for persons with disabilities.

The combined income excluding social contributions of the applicant and his/ her spouse and his/her children who are still living in the household and are under 18 years is included in the calculation for housing benefits. The highest income (excluding social contributions) is taken in full and half of the income (excluding social contributions) of the spouse is added to it to assess the income level of the family. Members of the household who are over 18 years are not considered for the housing benefit assistance unless they are disabled. Persons who are 18 years and over (who are not the applicant or his/ her spouse) are also not considered in terms of the number of members residing in the household. For separated persons, any alimony paid by the applicant to his/her former spouse will be deducted from the person's gross annual income in the calculation for housing benefits.

The following example illustrates how this benefit is being calculated.

Example 1:

Family with a husband and wife and two children less than 18 years, the income of the husband is higher than that of the wife - the full income (excl social contributions) of the husband and half of the income (excl social contributions) of the wife is considered for computing the housing benefit. The number of members who are considered to be residing in the house is considered to be 4 since children are less than 18 years and not working.

Example 2:

Family with husband and wife and two children who are over 18 years and are employed, the income of the husband is higher than that of the wife - the full income (excl social contributions) of the husband and half of the income (excl social contributions) of the wife is considered for computing the housing benefit, the income of the children is not considered. The number of members who are considered to be residing in the house is considered to be 2 since persons who are over 18 years are excluded from the computation.

5.2.2 *Income and earnings disregards*

In order to qualify for this scheme of Housing Benefits, the applicant's capital assets must not exceed € 10,000 (during the 12 months prior date of application) and the applicant's annual aggregate income does not exceed the maximum amounts indicated in the table above.

5.3 *Tax treatment of benefit and interaction with other benefits*

This benefit is non-taxable.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable, including disabled*

For people eligible in receiving a subsidy under Table B in section 5.2.1, an additional 125.00 Euros per annum will be granted to families having a disabled member and an additional 125.00 Euros per annum will also be granted to families having 6 or more members and an additional 300.00 Euros per annum to households who have fostered children living with them.

Furthermore, single people who:-

- 1) lived in care; or
- 2) were for a period of time fostered; or
- 3) left Corradino Correctional Facility; or
- 4) who have successfully completed a rehabilitation/therapeutic programme;

can benefit from the subsidy amounting to a maximum of 1,600.00 Euros per annum until the age of twenty eight (28).

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

6. Family benefits

Program name (local name in parentheses if available)			Child allowance (universal rate)	Child allowance (targeted rate)
Type of benefit			Universal	Targeted rate for low-income families
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		20	20
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No	No
Up-rating mechanism of the benefit			...	...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, +/- - proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0	- (lower for >16)
		Number of children	++	++
	Earnings disregard		n.a.	No
	Withdrawal rate		n.a.	Varies by family size: 6% for each child aged under 16 plus 2% for each child aged 16-20
	Assets part of means test?		...	...

Benefit: Children's Allowance

Eligibility to Children's Allowance depends on the income of the family and the number of children under 21 years of age in that family. Families with a household income exceeding 24,742.00 Euros are entitled to the Fixed Children's Allowance of 450.00 Euros per child per annum. In the case of families with three or less children and with a household income of 24,742.00 Euros or less, the eligibility to Children's Allowance is calculated on the difference between the declared income of the family for the previous year and the established threshold of 24,742.00 Euros. The answer is then multiplied by 6% for each child under 16 years of age, or on 2% for each eligible child over 16 but under 21 who satisfies the conditions outlined in section 6.1 below, living in the family and the result determines the amount of children's allowance which will be given. Should the answer to this computation be less than the fixed children's allowance (ie less than 450.00 Euros), the fixed rate is given for each child.

For families with four or more children, the maximum income of the parents taken into account for the computation of children's allowance is 30,911.00 Euros. In such cases if the parents earn more than 30,911.00 Euros they will be paid 450.00 Euros per annum per child under 16 years of age.

If income of parents is below 5,477.00 Euros this is considered as 5,477.00 Euros.

The application for children's allowance must be filed within six months from the birth of the child.

The amount of social security contributions paid for the previous year are deducted from the declared income before the children's allowance amount is worked out.

6.1 Conditions for receipt

All households having a child whose age is 16 or less is entitled to this benefit. In order to continue to receive the Children's Allowance, the beneficiary must submit an annual income declaration.

On a general level, Children's Allowance is provided to those eligible households whose children are below 16 years old. In addition, households with children between 16 and 21 years and attending full-time education and receiving no remuneration might be eligible for Children's Allowance. Children within the same age bracket who are registering for work and are living in households where the total income does not exceed 24,742.00 Euros are also entitled to Children's Allowance.

6.2 Calculation of benefit amount

For cases where the declared income for the previous year exceeds 24,742.00 Euros, the Fixed Children's Allowance of 450.00 Euros per child per annum is paid. In the case of a family whose declared income for the previous year is 24,742.00 Euros or less, the Children's Allowance paid is calculated on 6% for each child under 16, or on 2% for each eligible child over 16 but under 21, of the difference between the 24,742.00 Euros and the declared income of the family for the previous year.

6.2.1 Calculation of gross benefit

Explained in 6.2 above.

6.2.2 Income and earnings disregards

All children are entitled to Children's allowance irrespective of the household income.

6.3 Tax treatment of benefit and interaction with other benefits

This benefit is non-taxable.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

Others if applicable

Benefit: Carer's Pension

A person is entitled to the Carer's Pension if s/he is either single or widowed or who is taking care on his/her own on a full-time basis of a sick and bedridden relative or a relative who is confined to a wheel-chair living in the same household. In order to qualify as a sick relative the person must be a parent, grandparent, brother/ sister, uncle/ aunt, brother/sister-in-law or father/mother-in-law of the applicant. In addition, the applicant's Capital Resources must not exceed 14000 Euros and s/he must satisfy a Means Test.

The weekly rate is of 105.31 Euros (456.34 Euros per month), together with an additional bonus of 3.12 Euros per week. A six-monthly bonus of 135.10 Euros is also paid.

Benefit: Disabled Child Allowance

The Disabled Child Allowance is given to children who are certified to be suffering from a physical and/or mental disability. This benefit is over and above the Children's Allowance which has been referred to in section 6. This allowance is paid for each child with a disability residing within the same household.

The application for such benefit must reach the Department of Social Security within six months from the birth of the child. In addition a medical report by a doctor certifying the disability of the child must be included in the application. As from 2008, this allowance is no longer means tested and the rate is of 20.00Euros per week(86.67 Euros per month).

Benefit: Maternity Benefit – extended from 14 to 18 in 2014

In order to be eligible to such benefit the claimant must be in her eighth month of pregnancy or has given birth to a child in the six month prior to the date of claim. In addition, the applicant must not be availing herself of maternity leave. The payment is of 89.10 Euros per week, or 168.01 Euros per week for self-occupied women, for a maximum of 14 weeks.

Benefit: Maternity Leave Benefit

The Maternity Leave Benefit is payable to employed women who have recently given birth and have availed themselves of their full maternity leave entitlement. This benefit is also available to self-occupied women who have recently given birth and are eligible to receive a Maternity Benefit. The Maternity Leave Benefit is paid for a maximum of four weeks at a rate of 168.01 Euros per week.

Benefit: Foster Care

This benefit is paid for fostered children who are up to 18 years and not in gainful employment or in receipt of a stipend. The payment is of 70.00 Euros per week (303.33 Euros per month) for each child.

Benefit: Child Supplementary Benefit

In September 2015, low-income families received an additional one-time supplementary benefit for their children. Families with annual income lower than 10,830.00 Euros and who have children living with them under the age of 23 were paid 400.00 Euros per child for the first three children and an additional 200.00 Euros per child from the fourth child onwards. Families with annual income slightly higher than 10,830.00 Euros were paid pro-rata for the difference between their annual income and 10,830.00 Euros.

Furthermore, for families to be entitled to receive such benefit all their children under the age of 16 years will have had to attend school for not less than 95% during the last scholastic year. On the other hand,

children older than 16 years need to be either attending school, registering for unemployment or are involved in the Youth Guarantee Scheme, training to be employed

7. Childcare for pre-school children

Compulsory school starts at 5 years, however the majority of children are sent to pre-primary schools at the age of 3 to 4 years despite the fact that this is not compulsory.

During 2014, government introduced free childcare to parents when these are either both working or studying. The take up of this scheme is estimated to be 21.3 per cent of children born between 2013 and 2016. A further 5.9 per cent of children born during the same years were attending childcare services (NSO news release 150/2016).

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

As explained above, the majority of 3 to 4 year olds attend pre-primary schools. State pre-primary schools are free of charge.

Part-time childcare

Since there is no established fee for childcare services, fees paid for part-time childcare are determined by providers. There are cases where the fee per hour decreases according to the amount of hours that a child is present at the childcare centre. Hence the more hours of childcare that are availed of, the more likely it is that a person pays a less rate per hour than another person who uses childcare for a shorter amount of time.

7.2 Child-care benefits for formal centre-based care

Since 2014 government introduced free childcare to working or studying parents.7.2.1
Conditions for receipt

7.2.2 Calculation of benefit amount

7.2.2.2 Income and earnings disregards

7.2.3 Tax treatment of benefit and interaction with other benefits

Parents who paid fees for child-care services in respect of their children who are below the age of 12, to centres, which are registered or otherwise approved by the Department for Social Welfare Standards or the Directorate for Quality and Standards in Education or is a service provided by the Foundation for Educational Services in respect of their children are eligible for a deduction equal to the lower of €2,000 for every child or the amount of fees paid during 2015.

Childcare fees are not exempted from tax.

7.2.4 Treatment of particular groups

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

7.3 Child care allowance for children not using child care centers

There is no child care allowance for children not using child care centers, i.e. if care is home-based no benefit is provided.

8. Employment-conditional benefits

8.1 Conditions for receipt

Government Statutory Bonus and Income Supplement

Both bonuses are given to all employees, irrespective of whether their employment is full or part-time. Payment of both bonuses is to emanate from one source only. This means that if a person has a full-time job, as a main occupation and a part-time job as a secondary occupation, the bonuses will only be given for the main job.

Payment of the statutory bonus is effected in June and December, whereas payment for the income supplement is effected in March and September.

Benefit: In-Work Benefit

Introduced in 2015, this benefit is paid to families where both parents are in employment, have children under the age of 23 years living with them and whose combined annual income/net profit from a gainful occupation is between 10,000.00 Euros and 20,400.00 Euros. The annual earnings/net profit for one parent working part-time must not be less than 3,000.00 Euros. Such families are eligible to receive a maximum In-Work Benefit of 1,000.00 Euros per child per annum.

Single parents in employment with children under the age of 23 living with them and whose annual earnings/net profit from a gainful occupation is between 6,600.00 Euros and 15,000.00 Euros are also eligible to receive the In-Work Benefit. These persons will be paid a maximum In-Work Benefit of 1,200.00 Euros per child per annum.

Finally, in 2016 this benefit also became payable to families where only one parent is in employment, have children under the age of 23 years living with them and whose annual earnings/net profit from a gainful occupation is between 6,600.00 Euros and 13,000.00 Euros. Such families shall be paid a maximum In-Work Benefit of 150.00 Euros per child per annum.

The income taken into account to assess eligibility is the gross income minus employee social security contributions.

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

Parents where both are working and satisfying the above criteria have a benefit of maximum €1,000 per child per annum.

Single parents satisfying the above criteria have a benefit of maximum €1200 per child per annum.

Families with one working parent and satisfying the above criteria have a maximum benefit of €150 per child per annum.

Detailed benefit amounts are shown in annex.

8.3 Tax treatment of benefit and interaction with other benefits

The in work benefit is taxable.

Reference date for all information is **July 1st 2016**

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8.4 *Benefit duration*

No limit on duration.

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

9. Lone-parent benefits

Program name (local name in parentheses if available)			Social assistance for lone parents
Type of benefit			Targeted (basic benefit, bonus and rent assistance)
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		20
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Not in receipt of unemployment or social assistance
Uprating mechanism of the benefit			...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0
		Number of children	+
	Earnings disregard		No
	Withdrawal rate		100% below income threshold of EUR4105
	Assets part of means test?		...

9.1 Conditions for receipt

A single parent who does not earn more than the National Minimum Wage of 168.01 Euros per week is eligible for this benefit. In order to qualify for the Social Assistance for Single Parents, the applicant must fill the relevant form and return it to the Social Security District Office. Documentary evidence showing that the claimant is a single parent must be provided. All incoming claims are verified and income tests are carried out in order to establish whether the applicant is entitled to the benefit or not.

Lone parent benefits are given to those beneficiaries who are not already in receipt of other benefits such as unemployment or social assistance. In fact persons availing themselves of lone parent benefits are usually not registering for work and therefore do not fulfill the criteria for receiving unemployment assistance. Lone parents can however be receiving lone parent benefits whilst at the same time have also family benefits.

The above social assistance is reduced by 25% whenever the single unmarried parent and his/her children are residing with another family. In addition single parents may work as part-timers without losing their

entitlement to Social Assistance as long as the income received does not exceed the National Minimum Wage.

9.2 *Calculation of benefit amount*

The maximum rate of Assistance is 102.04 Euros per week (442.22 Euros per month) for a parent with one child. This is increased by a further 8.15 Euros per week (35.32 Euros per month) for each additional child. A weekly additional bonus of 3.12 Euros and a six monthly bonus of 135.10 Euros is payable to beneficiaries of Social Assistance. If rent is paid for the house of residence, an allowance of 1.16 Euros per week is added to the entitlement.

If the single parent lives with his/her parents the benefit is reduced to 76.53 Euros per week (331.63 Euros per month) for the parent and one child. This is increased by a further 6.13 Euros per week (26.56 Euros per month) for each additional child.

Single parents may work as part-timers without losing the right to the full Assistance, as long as their total income together with the Social Assistance entitlement for 2 persons (i.e. 110.19 Euros per week or 477.54 Euros per month) does not exceed the National Minimum wage of 168.01 Euros. This means that a single parent may earn up to 57.82 Euros per week and still receive the full entitlement of Social Assistance.

9.2.1 *Calculation of gross benefit*

Explained in 9.2 above.

9.2.2 *Income and earnings disregards*

The income and earnings disregards for lone parent benefits are identical to those of unemployment benefit (refer to paragraph 2.2.2 above).

9.3 *Tax treatment of benefit and interaction with other benefits*

This benefit is non-taxable.

9.4 *Benefit duration*

The duration of such benefit is indefinite until the capital/income means test is exceeded through changes in the family's financial situation.

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

[e.g. immigrants, part-time employees, self-employed, disabled]

10. Tax system

All persons having income arising in Malta together with those persons who are ordinarily resident and domiciled in Malta are liable to pay tax as per tax rates indicated below. The following income from employment are included in the tax computation: salary and wages, bonuses, overtime payments, director's fees, annual value of any free board or lodgings and other payments and allowances including commissions. In addition all types of income arising from other sources are to be included in the tax computation.

10.1 Income tax

10.1.1 Tax allowances and credits

Tax rebates are given if a person fulfils any of the conditions below:

- Children attending independent schools
- Parents or legal guardians of children who are paying a fee for having their children attend a private school, are eligible to a deduction equal to:
 - the lower of 1300 Euro or the amount paid during the year for each child attending a private pre primary
 - the lower of 1600 Euro or the amount paid during the year for each child attending a private primary school
 - the lower of 2300 Euros or the amount of school fees paid during the year for every child attending a private secondary school

Documentary evidence stating that a child is attending a private school must be presented in order to be eligible for such a rebate.

- As of 2015, parents who use school transport to send their children, under 16 years of age, to church or independent schools are eligible to receive a maximum deduction of €150 per child. Documentary evidence proving that such transport fees were indeed paid by the individual(s) making the claim need to be provided.

Alimony payments

Rebates on alimony payments are given if such payment is established by a Maltese court or as agreed by a public deed of personal separation under the authority of the Courts of Malta. If such evidence is presented, the amount of alimony payment is deducted from the husband's/ wife's income and included with the estranged wife/ husband income.

Child care fees

Parents who pay child care fees have a rebate of 2000 Euro for each child or the fee paid if it is less than 2000 Euro.

Rebate on disability facilitators

Parents who have suffering from a disability and attending a private school and are assisted by a facilitator are provided with a rebate on the cost of the facilitator. At a national level, parents choosing to send their disabled children to private schools have to pay for the full salary of the facilitator who is assigned to assist their child, since the state does not provide such a service in private schools. A rebate of

a maximum 9320 Euros is given to such circumstances. One is to note that in the majority of cases, persons whose children require the assistance of a facilitator at school, opt to send their children to state or church schools where such a service is provided free of charge.

Additional exemptions are provided for income arising from any of the following:

- Disability pension
- Social assistance
- Marriage grants or benefits
- Children's allowance or disabled child allowance

10.1.1.1 Standard allowances

As explained in 10.1.1

10.1.1.2 Standard tax credits

As explained in 10.1.1

10.1.2 *Income tax schedule*

Income tax is worked out depending on whether a person would like to have a single rate computation, a married rate computation or a parent rate computation.

Single rate computation – these rates apply to all single persons and also to married persons who consider the single rate computations as more advantageous to their situation.

Married rate computation – couples who are married and living together may opt to have their income taxed using the married rates. Single parents may also opt to use these rates. In this regard, unmarried individuals, widowed or separated persons who maintain a child may compute their tax by applying the married tax rates instead of the single rates.

Parent rate computation – these rates may be used by persons who are parents irrespective of whether they are legally married or not. All parents supporting children (up to 18 years) who are not in employment will be eligible for this rate. If children are still in tertiary education, the age limit is extended to 21 years. This rate may only be used when both parents work.

Below are tables showing rates for the three types of computation:

Single computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 -9,100	0	0.00
9,101 -14,500	0.15	1,365.00
14,501 19,500	0.25	2,815.00
19,501 -60,000	0.25	2,725.00
60,001 & over	0.35	8,725.00

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Married computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 -12,700	0	0.00
12,701 -21,200	0.15	1,905.00
21,201 -28,700	0.25	4,025.00
28,701-60,000	0.25	3,905.00
60,001 & over	0.35	9,905.00

Parent computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 -10,500	0	0.00
10,501 -15,800	0.15	1,575.00
15,801 -21,200	0.25	3,155.00
21,201-60,000	0.25	3,050.00
60,001 & over	0.35	9,050.00

Furthermore, in addition to the previous three computation rates, the following rates are used in the case of individuals who were not residents in Malta during the year immediately preceding the year of assessment:

Non-resident computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 -700	0	0.00
701 -3,100	0.20	140.00
3,101 -7,800	0.30	450.00
7,801 & over	0.35	840.00

Method of computation

When the person decides which rates to use, one must identify the wage bracket of his/her income, multiply the income by the identified tax rate and subtract the answer by the amount indicated in the 'Subtract' column. The final answer is the amount of tax which is due by the person.

10.1.3 *State and local income taxes*

10.2 *Treatment of family income*

Each person is considered individually for tax purposes unless the person is married and living together with his/her partner and opting for a married rate tax computation. There are no tax deductions or allowances for partners or spouses. At a national level, unmarried partners cannot avail themselves of the married tax computation rates. In addition unused portions of tax deductions or allowances are not transferable between partners or spouses.

10.3 *Social security contributions and payroll taxes*

The national social security contribution is based on two classes, namely, Class One contribution which is payable in respect of employed persons and Class Two contribution which is paid in respect of self-employed or self-occupied persons. Contributions are payable by all persons between the age of 16 and 65 years or the age until the person decides to give up employment in terms of the Social Security Act (currently the retirement age is of 62 years for both men and women)

No social security contributions are payable on earnings from overtime or earnings from income from a second job.

In the workings it is assumed that social security is to be worked out on the total AW (which includes all earnings), however in a local context, there are no social security contributions on earning related to overtime, bonuses and allowances. Below is table showing earnings statistics from the 2012 Labour Cost Survey (survey is conducted every four years).

Earnings breakdown	€	% distribution of earnings
Basic wages and salaries	2,011,754,176.66	85.7
Of which Social Security Contributions	168,267,421.07	7.2
Overtime	98,554,382.51	4.2
Irregular bonuses	94,149,824.67	4.0
Regular bonuses	142,501,485.56	6.1
Total earnings (excl social security contributions)	2,346,959,869.40	100.00

All information stated below relates to compulsory contributions. There are no compulsory private health insurance payments.

10.3.1 *Contributions paid by employees*

For the purpose of this section only Class One contributions are applicable.

Class One Contributions: - For every person who is considered to be in insurable employment, there are three different contributions which are to be paid: one by the employed person, one by his/ her employer and one by the State. Class one is made up of 6 categories:

Category A – Persons under 18 years of age earning not more than the amount provided in the table below

Category B – Persons aged 18 and over, earning not more than the amount provided in the table below

Category C - Persons born before 31st December 1961 – All persons whose basic weekly wage falls between the amounts indicated below

Category C - Persons born from 1st January 1962 onwards – All persons whose basic weekly wage falls between the amounts indicated below

Category D - Persons born before 31st December 1961 – All persons whose basic weekly wage is equal to or exceeds the amounts indicated below

Category D - Persons born from 1st January 1962 onwards – All persons whose basic weekly wage is equal to or exceeds the amounts indicated below

Category E – Students under 18 years of age

Category F – Students 18 years and over

Social security contributions are calculated as per table below:

Category	Type of Employed Persons	Weekly Rate of Contribution Payable by Employed Person	Weekly Rate of Contribution Payable by the Employer
A	Persons under eighteen years of age (other than those falling under category 'E' below of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary does not exceed €168.01.	€ 6.62	€ 6.62
B	Persons over eighteen years of age (other than those falling under category 'F' of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary does not exceed €168.01.	€ 16.80, or if the employee chooses, 10% of the basic weekly wage ¹	€ 16.80
C - Persons born up to 31 st December 1961	Persons (other than those falling under Categories 'E' and 'F' of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary is between € 168.02 and €344.86.	10% calculated to the nearest cent of their basic weekly wage or the weekly equivalent of their basic monthly salary	10% calculated to the nearest cent of their basic weekly wage or the weekly equivalent of their basic monthly salary
C - Persons born from 1 st January 1962 onwards	Persons (other than those falling under Categories 'E' and 'F' of this Part) whose basic weekly wage or the weekly equivalent of their	10% calculated to the nearest cent of their basic weekly	10% calculated to the nearest cent of their basic weekly

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

	basic monthly salary is between €168.02 and €425.73.	wage or the weekly equivalent of their basic monthly salary	wage or the weekly equivalent of their basic monthly salary
D - Persons born up to 31 st December 1961	Persons (other than those falling under Categories 'E' and 'F' of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary exceeds € 344.86.	€ 34.49	€ 34.49
D - Persons born from 1 st January 1962 onwards	Persons (other than those falling under Categories 'E' and 'F' of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary exceeds € 425.73.	€ 42.57	€ 42.57
E	Persons under eighteen years of age who are following a full-time course of studies or instruction under the Student-Worker Scheme, or other similar schemes (including the Extended Skills Training Schemes, but excluding the Worker-Student Schemes) involving distinct work and study periods for which they are receiving remuneration	10% calculated to the nearest cent of the basic weekly remuneration or the weekly equivalent of their basic monthly remuneration up to a maximum rate of contribution of € 4.38	10% calculated to the nearest cent of the basic weekly remuneration or the weekly equivalent of their basic monthly remuneration up to a maximum rate of contribution of € 4.38
F	Persons over eighteen years of age who are following a full-time course of studies or instruction under the Student-Worker Scheme, or other similar schemes (including the Extended Skills Training Schemes, but excluding the Worker-Student Schemes) involving distinct work and study periods for which they are receiving remuneration	10% calculated to the nearest cent of the basic weekly remuneration or the weekly equivalent of their basic monthly remuneration up to a maximum rate of contribution of € 7.94	10% calculated to the nearest cent of the basic weekly remuneration or the weekly equivalent of their basic monthly remuneration up to a maximum rate of contribution of € 7.94

¹If the insured person selects to pay a contribution of 10% of a basic wage or salary less than the weekly equivalent of the National Minimum Wage, such contribution may, if the person qualifies for a contributory benefit or a contributory pension, result in the payment of a reduced contributory benefit or contributory pension.

10.3.2 Contributions paid by employers

Information on the contributions paid by employers for Class One is provided in section 10.3.1 above.

Class Two Contributions: - These contributions are payable by persons between the age of 16 and 65 who are occupied in a self-employed capacity. Persons, who are neither employed nor 'gainfully occupied' are also considered to fall under the Class two category of contributions. There are various rates of the Class Two contribution: the full (or highest rate) and a number of lower rates depending on the total net income of the self-employed person concerned. The table below illustrates the rates which were applicable for this category during 2016:

	Annual net income		Weekly rate
	From (Euros)	To (Euros)	(Euros)
SA	910	9,960	28.73 or 15% of the annual net earnings if the person is a part time self-employed woman ¹ or 19.15 if person is a full-time farmer or breeder.
SB - Persons born up to 31 st December 1961	9,961	17,933	15 % of annual earnings or 10% if full-time farmer or breeder.
SB - Persons from 1 st January 1962 onwards	9,961	22,138	15 % of annual earnings or 10% if full-time farmer or breeder.
SC - Persons born up to 31 st December 1961	17,934	n/a	51.73 or 34.49 if full-time farmer or breeder.
SC - - Persons from 1 st January 1962 onwards	22,139	n/a	63.86 or 42.57 if full-time farmer or breeder.
SP*	1,005	8,409	24.52

*The SP rate applies only to single persons who are not self occupied.

¹If the insured person selects to pay a contribution less than €28.47, such contribution may, if the person qualifies for a contributory benefit or a contributory pension, result in the payment of a reduced contributory benefit or contributory pension.

Exemption from the payment of contributions for Class Two category: -

The following categories of persons are statutorily exempt from the payment of a Class Two contribution: -

- Persons in receipt of full-time education or training (ie these persons are not carrying out any apprentice work as part of their studies).
- Non-gainfully occupied married persons.
- Persons in receipt of a pension in respect of widowhood, invalidity or retirement or persons in receipt of a Parent's Pension;
- Persons in receipt of non-contributory Social Assistance or a non-contributory pension.

10.3.3 Payroll taxes

Payroll taxes which are applied at a national level are identical to Income Taxes which are described in section 10.1 above. The payment of such taxes depends on the income which a person declares. For employed persons there is a distinction in the percentage of tax which is paid if a job is considered to be the main occupation or if it is considered to be a second job.

Main jobs are taxed using the rates highlighted in section 10.1 (either single or married tax rate computation depending on the case) whereas payment of tax on income derived from part time earnings second jobs is of 15 per cent (for employees).

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.4 *Treatment of particular group*

[for both income taxes and social contributions]

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. Part-time work

11.1 *Special benefit rules for part-time work*

Persons having a part-time job are entitled to social assistance and family benefits as long as they satisfy all the criteria highlighted for the various benefits indicated in sections 4, 5, 6 and 9 above. In addition persons with a part time work as a primary job are also entitled to employment-conditional benefits as described in section 8 above.

11.2 *Special tax and social security contribution rules for part-time work*

At a national level a distinction is made between part-time work as a main job and part-time work as a second job.

Persons having a part-time work as a main job have to pay social security contributions in line with the rates provided in section 10. For tax purposes income from part-time employment must be declared and payments made according to the details specified in section 10 above.

Persons having a part-time work as a second job do not have to pay any social security contributions since they would be already paying their share in their primary occupation. For tax purposes income from part-time employment must be declared. A flat rate of 15 per cent on the first €10,000 is paid in respect of income derived from part-time employment as a second job.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2015 – 1st July 2016

1. The minimum taxable income for single tax rates has been increased from 8,500.00 Euros to 9,100.00 Euros (see Section 10.1). Similar increases were implemented with regards to the minimum taxable incomes for married tax rates (from 11,900.00 Euros to 12,700.00 Euros) and parent tax rates (from 9,800.00 Euros to 10,500.00 Euros). Furthermore, individuals with an annual income of up to 19,500.00 Euros will save 90.00 Euros tax per annum (single computation), individuals with an annual income of up to 28,700.00 Euros will save 120.00 Euros tax per annum (married computation), and individuals with an annual income of up to 21,200.00 Euros will save 105.00 Euros tax per annum (parent computation).
2. In order to be eligible to receive a full pension, persons born in 1969 or later require 41 years of valid social security contributions instead of 40 years as was previously the case.
3. Persons who in agreement with their employer continue to work after pensionable age shall have their pension increased by 2% to 4% per additional year spent in employment.
4. As from 1 January 2016, companies employing more than 20 employees and failing to employ the required minimum number of persons with disability will be liable to pay a contribution of 1,600.00 Euros per person (previously 800.00 Euros) with disability that should have been employed by the company.
5. In addition to (6), the Government will be paying the social security contributions of employees with disability whilst their employers will benefit from a refund of 25% of the total wage payable to such persons together with a subsidy of 125.00 Euros per week for 3 years.
6. As of 2016, the In-Work Benefit has been extended to families with dependent children under the age of 23 years where only one of the parents is employed and his/her income is between 6,600.00 Euros and 13,000.00 Euros per annum (see Section 6.4). Such families will be entitled to receive a maximum In-Work Benefit of 150.00 Euros per child per annum.

12.2 Future policy changes announced since 1st July 2016

As stated in the 2017 Budget Speech (on 17th October 2016) The following Social measures are set to be Implemented In 2017 by the Maltese Government:

7. The maximum In-Work Benefit payable will be increased in 2017. For parents who are both gainfully occupied with a combined annual income ranging from 10,000.00 Euros and 20,399.00 Euros, the maximum In-Work Benefit payable will increase from 1,000.00 Euros to 1,200.00 Euros per child per annum. For working single parents whose annual income ranges from 6,600.00 Euros and 14,999.00 Euros, the maximum In-Work Benefit payable will increase from 1,200.00 Euros to 1,250.00 Euros per child per annum. Finally, for parents where one parent is currently in employment and earning between 6,600.00 Euros to 16,500.00 Euros, the maximum In-Work Benefit payable will be increased from 150.00 Euros to 350.00 Euros per child per annum.
8. In addition to (3), the In-Work Benefit will also be extended to families where both parents are working and earning an annual income between 20,400.00 Euros and 24,000.00 Euros and also to single parents earning between 15,000.00 Euros and 16,500.00 Euros. The former group will be

eligible to receive an In-Work Benefit of 170.00 Euros per child per annum while the latter will receive 50.00 Euros per child per annum.

9. The current annual income thresholds for the Supplementary Assistance will be increased in 2017. The ceiling for eligible married persons will be increased from 11,089.00 Euros to 13,000.00 Euros while the ceiling for eligible single persons will be increased from 8,921.00 Euros to 9,012.00 Euros.
10. The annual rent subsidy given to families who pay an annual rent exceeding 203.15 Euros (increased from 198.00 Euros in 2016; see Table B in Section 5.2) will be doubled in 2017. The minimum annual rent subsidy to be given to eligible families will be 1,100.00 Euros while the maximum subsidy will be 2,000.00 Euros.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD Revenue Statistics.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers, employees [...] either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

ANNEX
IN-WORK BENEFITS RATES FOR 2016.

INCOME LIMIT	WEEKLY RATE
Married One Person Working	
€6600.00 - €11600.99	€2.88
€11601.00 - €12300.99	€1.92
€12301.00 - €13000.00	€1.00
Married Both Persons Working	
€10000.00 - €10399.99	€3.85
€10400.00 - €10499.99	€4.81
€10500.00 - €10599.99	€5.77
€10600.00 - €10699.99	€6.73
€10700.00 - €10799.99	€7.69
€10800.00 - €10899.99	€8.65
€10900.00 - €10999.99	€9.62
€11000.00 - €11099.99	€10.58
€11100.00 - €11199.99	€11.54
€11200.00 - €11299.99	€12.50
€11300.00 - €11399.99	€13.46
€11400.00 - €11499.99	€14.42
€11500.00 - €11599.99	€15.38
€11600.00 - €11699.99	€16.35
€11700.00 - €11799.99	€17.31
€11800.00 - €11899.99	€18.27
€11900.00 - €17099.99	€19.23
€17100.00 - €17199.99	€18.65
€17200.00 - €17299.99	€18.08
€17300.00 - €17399.99	€17.50
€17400.00 - €17499.99	€16.92
€17500.00 - €17599.99	€16.35
€17600.00 - €17699.99	€15.77
€17700.00 - €17799.99	€15.19
€17800.00 - €17899.99	€14.62
€17900.00 - €17999.99	€14.04
€18000.00 - €18099.99	€13.46
€18100.00 - €18199.99	€12.88
€18200.00 - €18299.99	€12.31
€18300.00 - €18399.99	€11.73
€18400.00 - €18499.99	€11.15
€18500.00 - €18599.99	€10.58
€18600.00 - €18699.99	€10.00
€18700.00 - €18799.99	€9.42

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

€18800.00 - €18899.99	€8.85
€18900.00 - €18999.99	€8.27
€19000.00 - €19099.99	€7.69
€19100.00 - €19199.99	€7.12
€19200.00 - €19299.99	€6.54
€19300.00 - €19399.99	€5.96
€19400.00 - €19499.99	€5.38
€19500.00 - €19599.99	€4.81
€19600.00 - €19699.99	€4.23
€19700.00 - €20400.00	€3.65
Single Person	
€6600.00 - €6699.99	€15.38
€6700.00 - €6799.99	€15.87
€6800.00 - €6899.99	€16.35
€6900.00 - €6999.99	€16.83
€7000.00 - €7099.99	€17.31
€7100.00 - €7199.99	17.79
€7200.00 - €7299.99	€18.27
€7300.00 - €7399.99	€18.75
€7400.00 - €7499.99	€19.23
€7500.00 - €7599.99	€19.71
€7600.00 - €7699.99	€20.19
€7700.00 - €7799.99	€20.67
€7800.00 - €7899.99	€21.15
€7900.00 - €7999.99	€21.63
€8000.00 - €8099.99	€22.12
€8100.00 - €8199.99	€22.60
€8200.00 - €9099.99	€23.08
€9100.00 - €9199.99	€22.69
€9200.00 - €9299.99	€22.31
€9300.00 - €9399.99	€21.92
€9400.00 - €9499.99	€21.54
€9500.00 - €9599.99	€21.15
€9600.00 - €9699.99	€20.77
€9700.00 - €9799.99	€20.38
€9800.00 - €9899.99	€20.00
€9900.00 - €9999.99	€19.62
€10000.00 - €10099.99	€19.23
€10100.00 - €10199.99	€18.85
€10200.00 - €10299.99	€18.46
€10300.00 - €10399.99	€18.08
€10400.00 - €10499.99	€17.69
€10500.00 - €10599.99	€17.31
€10600.00 - €10699.99	€16.92

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

€10700.00 - €10799.99	€16.54
€10800.00 - €10899.99	€16.15
€10900.00 - €10999.99	€15.77
€11000.00 - €11099.99	€15.38
€11100.00 - €11199.99	€15.00
€11200.00 - €11299.99	€14.62
€11300.00 - €11399.99	€14.23
€11400.00 - €11499.99	€13.85
€11500.00 - €11599.99	€13.46
€11600.00 - €11699.99	€13.08
€11700.00 - €11799.99	€12.69
€11800.00 - €11899.99	€12.31
€11900.00 - €11999.99	€11.92
€12000.00 - €12099.99	€11.54
€12100.00 - €12199.99	€11.15
€12200.00 - €12299.99	€10.77
€12300.00 - €12399.99	€10.38
€12400.00 - €12499.99	€10.00
€12500.00 - €12599.99	€9.62
€12600.00 - €12699.99	€9.23
€12700.00 - €12799.99	€8.85
€12800.00 - €12899.99	€8.46
€12900.00 - €12999.99	€8.08
€13000.00 - €13099.99	€7.69
€13100.00 - €13199.99	€7.31
€13200.00 - €13299.99	€6.92
€13300.00 - €13399.99	€6.54
€13400.00 - €13499.99	€6.15
€13500.00 - €13599.99	€5.77
€13600.00 - €13699.99	€5.38
€13700.00 - €13799.99	€5.00
€13800.00 - €13899.99	€4.62
€13900.00 - €13999.99	€4.23
€14000.00 - €14099.99	€3.85
€14100.00 - €14199.99	€3.46
€14200.00 - €14299.99	€3.08
€14300.00 - €14399.99	€2.69
€14400.00 - €15000.00	€2.31